



Qualification Programme Examination Panelists' Report

Module 14 – Taxation (June 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case revolved around the application of the Qualifying Corporate Treasury Centre ("QCTC") tax regime to a typical intra-group financing business, with an offshore element relating to the comparison of a similar tax regime operating in a jurisdiction overseas. The QCTC tax regime has been in place in Hong Kong for several years and the Inland Revenue Department ("IRD") has issued a practice note to specifically cover this topic; thus, the reference materials for this topic should have been sufficient.

Though some of the questions leaned towards the practical side and required business sense and analytical thinking to come up with satisfactory answers, the difficulty of the questions was nonetheless adjusted to reflect the normal performance expectations held of candidates. Some answers were in fact quite straightforward and simple; unfortunately, performance on the more practical questions was unsatisfactory, primarily due to many questions not having been attempted by some candidates.

To achieve good performance in this section, candidates should have demonstrated their competence as professional accountants capable of identifying and analysing critical issues and providing value added solutions. Candidates are thus reminded to read the information provided carefully, address the question requirements, and avoid blindly copying model answers from past papers and materials that may be irrelevant.

In addition, candidates are encouraged to attempt every question. The marking scheme is written with abundant available marks to cover a wide spectrum of relevant points, enabling candidates to score marks as long as they are willing to attempt the questions. Therefore, the price for not answering a question is much higher than candidates may expect.



Specific Comments

Question 1(a) – 10 marks

This question required candidates to compare the features of Enterprise Treasury Centre in Country S and QCTC in Hong Kong. The expected answer was in fact very straightforward, though candidates nonetheless were expected to present their answers in a logical manner to demonstrate effective communication skills and efficient use of limited time during the examination. Results were satisfactory, with many candidates scoring full or nearly full marks to the extent they were aware of the above expectation. Nonetheless, there were quite a few candidates who wrote overly long answers in an attempt to describe the QCTC regime in detail, which was not required. For candidates who did this, this may have negatively affected the time allocation to answer the rest of the questions.

Question 1(b) – 6 marks

This question required candidates to calculate the tax liabilities under the two regimes for further comparison and analysis in the next question. The information required for the calculation was simple, and many candidates managed to achieve satisfactory results. Nevertheless, very few candidates presented the answer in a concise manner, as suggested in the marking scheme to help candidates save some time.

Question 1(c) – 5 marks

This question required candidates to apply the answer obtained in 1(b) to conduct a commercial analysis involving tax and business issues. This type of question is practical but not difficult if the candidate has strong business sense and is able to tackle the question from a cost/ benefit perspective. Results were unsatisfactory, with quite a number of candidates providing irrelevant points without referring to the three business issues given in the case. Furthermore, many candidates did not attempt this question.

Question 2(a) – 6 marks

This question required candidates to explain and then apply the tax rules for interest income earned from a simple loan of money and intra-group financing business, respectively. This was a very straightforward question with relevant information readily available in the study text. Most candidates provided satisfactory answers and scored reasonable marks, though the presentation of their answers had significant room for improvement.

Question 2(b) – 6 marks

This question required candidates to explain and then apply the deduction rules for interest expense incurred in a normal business and intra-group financing business, respectively. Whilst the requirements and expectations were largely the same as Question 2(a), the tax laws involved were more extensive and covered anti-avoidance



provisions, as indicated by the information provided in the case. Performance of the candidates was similar to Question 2(a).

Question 3(a) – 4 marks

This question tested candidates' practical skills on reading a legal clause, computing the withholding tax on a gross up income basis, and further analysing the tax impact on a typical intra-group lending transaction. Surprisingly, quite a few candidates did not understand the concept of income gross up and thus incorrectly calculated the withholding tax. An even larger number of candidates simply gave up and did not attempt this question.

Question 3(b) – 4 marks

This question required candidates to describe the IRD's expectation on intra-group financing business from a transfer pricing perspective and to further suggest a transfer pricing methodology with explanation. This has been a very common topic in past examination papers; therefore, most candidates were able to write some relevant points, though not necessarily with a cogent analysis that led to the correct methodology suggestion. Performance was satisfactory.

Question 4(a) – 5 marks

This question required candidates to set out the process of advance ruling application with a list of work deliverables associated with tax engagement. This question was highly practical and required candidates to give some thoughts on the business process, which would naturally indicate the work deliverables involved. Performance was less than satisfactory. Some candidates made a good attempt by trying to quote the advance ruling information from the study text, but many failed to transform the information into the expected answer, thus scoring low marks. Candidates are reminded to read the question carefully before answering this type of practical question, as simply copying and pasting study text information in most cases is not helpful in scoring high marks when candidates are required to apply technical knowledge to the delivery of professional work.



Question 4(b) – 4 marks

This question required candidates to demonstrate risk awareness in a typical client interaction situation. The information given in the question was intended to stimulate thoughts in a direction that would lead to the expected answer. Again, reading this question carefully was very important as the information provided was given for a reason. Performance was diverse. Many candidates did not perform well as they lacked the correct analysis preceding the conclusion. Others wrote points that were irrelevant to the information given in the question requirement. Those who scored satisfactory marks cited the correct information with an analysis that consisted almost entirely of common sense.



(II) Section B – Essay/Short Questions

General Comments

This section included questions on different areas of salaries tax, profits tax, stamp duty, and tax administration. Candidates showed good understanding of the salaries tax issues in Question 5, which are not uncommon in reality and required a solid foundation of the relevant knowledge to tackle the problems. Question 6 was mainly a profits tax question set in the context of a partnership business, with a small part on stamp duty payable on lease. Candidates' performance on stamp duty and profits tax computation was fair in general, though they did not appear to be familiar with certain aspects related to ascertaining the profit/ loss and tax payable by a partnership. Question 7 was a tax administration question, which is another practical area where candidates demonstrated weak knowledge.

Specific Comments

Question 5 – 13 marks

This question required candidates to write tax advice covering deduction under salaries tax and income from employment, as well as procedural and practical aspects of tax objection and appeal. In general, candidates demonstrated good understanding of the relevant salaries tax issues and accurately applied the law and legal principles to the case facts. Many candidates also presented their tax advice in a structured and logical manner. Thus, performance was satisfactory.

Question 6(a) – 4 marks

This question tested candidates' knowledge of stamp duty payable on tenancy agreements and the related penalty of late stamping. While most candidates appeared to not have encountered much difficulty in this rather straightforward question, they are nonetheless reminded to pay special attention to the basis on which stamp duty on a lease was computed and the applicable duty rate. Performance on this question was good.

Question 6(b) – 10 marks

This question required candidates to prepare a profits tax computation in the context of a partnership business. Many candidates made good attempts at analysing the tax implications of various items and provided corresponding adjustments in the tax computation. That said, candidates should also apply their basic accounting knowledge to consider whether certain items, like costs of fixed assets, had or had not been included in arriving at the profit before tax. With this sense, candidates should be able to formulate an accurate profits tax computation and gain higher marks. Further, candidates are reminded that for computational questions, their answers must include calculations instead of a mere analysis of facts and law. Performance on this question was fair.

Question 6(c) – 8 marks

This question continued on from the answer in Question 6(b) and required candidates to prepare a statement of allocation of profit/ loss for the partnership business. Performance on this question was diverse. Candidates who had covered this specific area of profits tax in their revisions generally adopted the correct template with relevant data and thus scored reasonable marks. However, there was also a considerable number of candidates who failed to attempt this question or demonstrated inadequate understanding of the topic.

Question 7(a) – 4 marks

This question required candidates to explain the IRD's power to obtain information from third parties. Indeed, professional accountants in tax practice would expect this common question from their clients who are tax laymen. However, only a limited number of candidates pointed out the correct statutory provisions and applied them to the case facts. Thus, performance on this question was not satisfactory.

Question 7(b) – 4 marks

This question tested candidates' knowledge on the mechanism of claiming dependant parent allowance, particularly in a multiple claims scenario. The majority of candidates were aware of the relevant statutory requirement and provided adequate answers. Performance on this question was good.

Question 7(c) – 3 marks

This question required candidates to give advice on the tax obligations of a person in the capacity of an executor of a deceased's estate. Quite a number of candidates focused on stamp duty implications, which were actually not indicated in the background facts and the question requirement itself. Performance on this question was less than satisfactory.

Question 7(d) – 4 marks

This question required candidates to analyse whether Personal Assessment ("PA") should be elected for the deceased person in respect of income generated before death, given the circumstances described in the case. Probably due to time constraints, a large number of candidates did not read the background facts and the question carefully. Some only gave generic answers on the benefits of electing for PA and did not analyse the facts set out in the case, thus missing out on the crux of the question. There were also candidates who failed to attempt this last question. Performance on this question was poor.



(III) Conclusion and Recommendation

In recent sessions, a hot topic list has been issued before examinations to facilitate students' preparation. Candidates are recommended to make reference to the hot topic list and plan their revisions accordingly, which should help them achieve reasonable results. The impact of time management on overall performance is still apparent in this examination session. Candidates are thus advised to adhere to the suggested time allocation so as to avoid spending too much time on any particular question. Moreover, candidates are reminded that generic answers without application will not earn good marks in professional level examinations. Candidates are also expected to demonstrate their abilities to apply legal principles to the given facts with their own analysis and judgement.